

ECON 101—INTRODUCTION TO MICROECONOMICS

Fall 2024

Department of Economics
Nazarbayev University

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Time and classroom: TR 16:30–17:45, Blue Hall.

Office hours: Times announced during semester, my office is in 8.510. Book at <https://econ101.youcanbook.me/> during available slots, please sign at least one day in advance.

Tutorial Sessions: There will be tutorial sessions held approximately every week, except the first one. The tutorials will be led by one my graduate/undergraduate teaching assistants.

Course Description: The objective of the course is to introduce you to a set of analytical tools, i.e. *the core principles of microeconomics*, needed to understand the functioning of market economies and also to apply those principles to everyday life and understand economic and social phenomena. At the end of the course, the student is expected to apply these tools in the analysis of daily economic problems and to be able to discuss critically economic policy issues. We will study consumer and firms behavior, how different types of markets work, welfare implications of different market structures, trade, market failures, and public policies.

Course Aims:

1. Introduce students to the economic way of thinking.
2. Introduce students to a theoretical framework to study economic and social phenomena, as well as serve as a basis to the study of other social sciences.
3. Explain consumer and firm behavior.
4. Analyze different types of markets, such as perfect competition, monopoly, and oligopoly.
5. Analyze market inefficiencies caused by externalities and public goods.
6. Analyze, evaluate, and recommend economic and social policies.

Course Learning Objectives: By the end of the course the student will be expected to be able to:

1. Demonstrate fluency in economic terminology and graphical tools.
2. Apply the cost-benefit principle to analyze and predict the choices of individuals, firms, and other decision makers.
3. Explain how different factors affect supply and demand.
4. Explain how markets organize the allocation of scarce resources and the distribution of goods and services, assess the efficiency of markets, and describe the various factors that might have an impact on efficiency.
5. Relate the basic economic theory and principles to current microeconomic issues and evaluate related public policy.

Learning and Teaching Methods: Lectures, in-class activities, tutorials, and problem sets.

Textbook: There is no official textbook for the course. However, the following references might be useful:

- Shapiro, David. *Principles of Macroeconomics 3e*. OpenStax College, 2022. This is a free textbook. It can be accessed at <https://openstax.org/details/books/principles-microeconomics-3e/?Book%20details>. This is a relatively easy textbook. The level of the class is significantly more advanced but this textbook might be helpful to consult if you need to check simple examples or need more motivation for the material.
- Börgers, Tilman. *Lecture Notes on Microeconomic Theory*. Very useful set of lecture notes. The level of the class is more or less at this level.
- Perloff, Jeffrey M. *Microeconomics*. Pearson, 2018, 8th ed. Another useful textbook. The coverage of topics follows approximately this textbook, but I go into considerable more depth in most of the topics. Available from the library.
- Frank, Robert; Bernanke, Ben; Antonovics, Kate; Heffetz, Ori. *Principles of Microeconomics*. McGraw Hill 8th ed. Another useful textbook if you need a simpler introduction to the material. Available from the library.

You will be responsible for all the material I cover or assign in class or tutorials. Therefore the references above *are not* a perfect substitute for the material I cover in class.

Course Website: Additional course material, such as lecture slides, problem sets, and announcements will be posted on the Moodle page of the course, which you should check regularly.

Summative Assessments:

Activity	Date	Weighting	CLOs
Midterm Exam 1	19.09.24	30%	1–3
Midterm Exam 2	31.10.24	30%	1–5
Final	TBA	40%	1–5

Exams will be held outside during class time, ideally in one of the big ballrooms. All exams are closed books/notes. Programmable calculators will not be allowed when taking the exams. The dates of the midterm exams are fixed but the exact locations will be announced later. The final exam will be scheduled by the Office of the Registrar during finals' week. If you miss an exam, you will get a grade of zero unless you have a valid and documented reason. If you miss a midterm exam for a valid and documented reason its weight will be shifted to the final exam. If you miss the final exam for a valid and documented reason, a grade of incomplete (I) will be assigned and the University policy will be followed to assign the letter grade at a later date. There are no make-up exams. The final exam is cumulative. If you fail to appear for two or more exams, you will automatically fail the course, even if you have valid and documented reasons for your absence. Students who wish to appeal a grade on a midterm have to do so within *five days* after the graded exam is returned. Students who wish to appeal on a final exam or final course grade have to do so *within two days* after the grades are posted.

There will be several *problem sets*, whose solutions will be discussed during tutorial sessions. These assignments will not be graded but it is very important that you work on them before the tutorial sessions. The best way to keep up with the demands of the course and to prepare for the exams is to work on the problem sets regularly. Do not expect to do well in this course by only attending lectures or reading the textbooks.

Grading: Your course grade is determined by the weighted average of the assessments above according to the following scale:

A	90–100	A–	85–89.99
B+	80–84.99	B	75–79.99
B–	70–74.99	C+	65–69.99
C	60–64.99	C–	55–59.99
D+	50–54.99	D	45–49.99
F	0–44.99		

Course Expectations:

1. Class will begin promptly at the scheduled starting time. As a courtesy to others, it is requested that you not arrive after class has begun or leave before it ends. PLEASE NOTE: Since showing up late and leaving early is disruptive to the class, students who disrupt the class in this or any other manner may be administratively dropped or have their course grade reduced at the instructor's discretion. If you must leave class early or will be late, please let me know before class begins.
2. Class attendance will be taken regularly throughout the semester. If you fail to attend a lecture, you must submit the documents justifying your absence to the registrar and notify me by email. Students who have more or equal than 25% of unexcused absences (7 lectures) will not be able to take the final exam.
3. Before the add/drop deadline, the instructor holds the right to excuse students from class or administratively drop them if necessary for not attending lectures.

Academic Misconduct: Students are expected to act with integrity. Cheating and plagiarism will not be tolerated. Any student deemed academically dishonest will be reported to the SSH disciplinary committee. Any cases of academic misconduct will be handled in accordance with the procedures of the Student Code of Conduct. The penalties may include anything from failing grade on a particular assignment to a loss of stipend, and even, dismissal from the University. You can read more about academic misconduct in the Student Code of Conduct. https://aao.nu.edu.kz/academic_integrity

AI Usage Policy: All work submitted in this course must be your own. Contributions from anyone or anything else—including AI sources, must be properly quoted and cited every time they are used. Only artifacts that authentically represent the knowledge and skills of the student should be submitted. Failure to do so constitutes an academic integrity violation and will be treated as plagiarism. Penalties will be applied according to the NU Student Code of Conduct

Tentative Course Outline: The following gives a tentative outline of the material to be covered in this course. We may not be able to cover all the material listed below and the schedule is tentative.

Session	Topics and Assignments	Course Aims	CLOs
Week 1	Introduction: Basic Concepts and Principles, Specialization, Gains from trade	1,2	1,2
Week 2	Demand and Supply	1,2,3	1,2,3
Week 3	Elasticity	1,2,3	1,2,3
Week 4	Consumer Behavior	1,2,3	1,2,3
Week 5	Individual Demand, Income and Substitution Effects	1,2,3	1,2,3
Week 6	Review, Midterm 1	1,2,3	1,2,3
Week 7	Production and Costs	1,2,3	1,2,3
Week 8	Long-run Equilibrium in Competitive markets	1,2,3,4	1,2,3,4
Week 9	Applying the competitive model, Government Interventions in Markets.	1,2,3,4,6	1,2,3,4,5
Week 10	Review, Midterm 2	1,2,3,4,5,6	1,2,3,4,5
Week 11	Spring Break		
Week 12	Economic Welfare and Efficiency, Monopoly	1,2,3,4,6	1,2,3,4,
Week 13	Introduction to Game Theory	1,2,3,4	1,2,3
Week 14	Imperfect Competition and Oligopoly	1,2,3,4	1,2,3,4
Week 15	Externalities and Public Goods.	1,2,3,4,5,6	1,2,3,4,5

Disclaimer: Subsequent changes can be made to any part of this syllabus when necessary. Any changes will be announced in class and on Moodle.